Meta Platforms (META)

The Ad Engine Has Never Been Stronger

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*The Ad Engine Has Never Been Stronger. $59.4B ad revenue (+27%) with 14% impression growth and 12% pricing gains, both AI-driven. Family ARPP up 23.5% to $16.86 [Q2'26 10-Q]. The core business is a compounding machine. The Market Prices the Spend, Not the Returns. $31.1B quarterly capex nearly consumed all of operating cash flow. But the stock at $709.33 [Mkt 16-Oct-26] prices in 6.35% implied CAGR, below our 6.6% bear case. Pessimism is in the price. Upside If AI Pays. DCF base $944 implies 33% upside. WhatsApp paid messaging at a $2B+ run rate, Threads at 500M MAU, and MTIA custom silicon are monetization and margin levers the market is not paying for. Our framework screens it as a **Buy** with a $923.04 blended target, 30% above the current price.*

BUY	$923.04	+30%	$709.33
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The Ad Engine Has Never Been Stronger. $59.4B ad revenue (+27%) with 14% impression growth and 12% pricing gains, both AI-driven. Family ARPP up 23.5% to $16.86 [Q2'26 10-Q]. The core business is a compounding machine.

Executive summary

The Market Prices the Spend, Not the Returns. $31.1B quarterly capex nearly consumed all of operating cash flow. But the stock at $709.33 [Mkt 16-Oct-26] prices in 6.35% implied CAGR, below our 6.6% bear case. Pessimism is in the price.

Upside If AI Pays. DCF base $944 implies 33% upside. WhatsApp paid messaging at a $2B+ run rate, Threads at 500M MAU, and MTIA custom silicon are monetization and margin levers the market is not paying for.

$60.80B	$59.36B	30.9%	$0.78B	$31.1B	3.60B
REVENUE (Q2 2026)	AD REVENUE (Q2 2026)	OP MARGIN (Q2 2026)	FREE CASH FLOW (Q2 2026)	CAPEX (Q2 2026)	FAMILY DAILY ACTIVE PEOPLE

The moat is structural

AI-driven ad improvements: impressions +14%, average price per ad +12%, Family ARPP +23.5% to $16.86

Three scenarios make the valuation range explicit

The DCF values Meta Platforms across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$625.20**	-12%
Base	50%	**$926.55**	+31%
Bull	25%	**$1,213.84**	+71%

Bear ($625.20, -12%): Growth disappoints and multiples compress; the $625.20 target marks the downside case.

Bull ($1,213.84, +71%): Execution compounds and the multiple rerates; the $1,213.84 target marks the upside case.

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The probability-blended target implies +30% upside

Blended target: $923.04 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +30% upside from the $709.33 reference price.

$923.04

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 20.5x [Mkt 16-Oct-26] DCF Base $944 [Mkt 16-Oct-26] PEG 0.97 [Mkt 16-Oct-26] DCF implies 33% upside. PEG below 1.0 suggests growth is underpriced for a 20%+ grower.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $923.04 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

AI-driven ad improvements: impressions +14%, average price per ad +12%, Family ARPP +23.5% to $16.86 [Q2'26 call]

Family of Apps scale: 3.60B daily active people; WhatsApp/Threads monetization backlog barely tapped [Q2'26 call]

Custom silicon (MTIA) roadmap stripping merchant GPU margin out of the inference cost stack [Q2'26 call]

What to monitor

21 Oct 2026. Q3 2026 Earnings (Two-Sided): Consensus $63.3B revenue, ~$6.6 EPS. Guide was $61-64B; stock rallied 37% since July, so the bar is high.

2026-2027. Capex Payback Test (Two-Sided): FY26 guide $130-145B capex; Q3 capex est ~$41B with FCF est -$9.1B. Any 2027 acceleration without returns narrative tests enthusiasm.

2027. Monetization Backlog (Positive): Threads 500M MAU, paid messaging on WhatsApp at a $2B+ run rate; click-to-message ads ~$10B.

$60.80B	$59.36B	30.9%	$0.78B
REVENUE (Q2 2026)	AD REVENUE (Q2 2026)	OP MARGIN (Q2 2026)	FREE CASH FLOW (Q2 2026)

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$201.0B	$164.8B	$60.5B
2024	$164.5B	$134.3B	$62.4B
2023	$134.9B	$108.9B	$39.1B
2022	$116.6B	$91.4B	$23.2B

Key risks

Capex Payback. FY2026 capex guide of $130-145B, ~2x FY25, collapsed quarterly FCF 91% to $784M. If AI returns do not materialize, the buildout permanently impairs the cash machine. [Q2'26 10-Q]

Reality Labs Drain. Reality Labs lost $4.62B in Q2 alone with cumulative losses approaching $90B. The metaverse bet remains a large, open-ended drain with no return timeline. [Q2'26 10-Q]

Regulatory Overhang. A $2.4B legal-proceedings charge (linked to youth-safety litigation) plus $1.18B in severance hit Q2. Regulatory and litigation exposure remains a recurring wildcard. [Q2'26 10-Q]

Investment view

A Q3 beat with strong Q4 guidance and a credible capex-payback narrative would push the bull case ($1,237) into play. A weak print or 2027 capex acceleration without returns evidence would cut Trend and Forward Growth sharply.

Buy. The $923.04 blended target implies +30% upside, balancing the $625.20 / $926.55 / $1,213.84 Bear / Base / Bull targets.

Family of Apps scale: 3.60B daily active people; WhatsApp/Threads monetization backlog barely tapped [Q2'26 call]

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Upcoming catalysts

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